

CEO Sentiment and Policy Exposure of Foreign Firms in China: A Cross-Industry Synthesis

Siddhant Manav Pagare

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This memo synthesizes CEO-level strategic commentary and policy exposure across 28 major foreign firms in China, spanning four industry groups. The analysis draws on 38 executive statements (2022-2025) and 14 China-related policies (2015-2025) to identify cross-industry patterns in how firms navigate regulatory uncertainty and competitive pressures.

1. Cross-Industry Comparison of CEO Sentiment

Automotive and EV firms display the most uniformly committed posture. European OEMs have doubled down on localization: BMW signed a 2.5 billion euro Shenyang investment MoU, VW pursues an "in China, for China" approach with partner XPENG, and Mercedes-Benz declared it "absolutely inconceivable" to write off China. Stellantis chose to "be Chinese ourselves" through its Leapmotor investment rather than retreat. Tesla occupies a distinct position, acknowledging Chinese competitors as "the most competitive car companies in the world" while maintaining its Shanghai footprint. This commitment reflects sunk costs, China's centrality as the world's largest EV market, and the NEV dual-credit policy rewarding local production.

The technology and semiconductor sector presents the starkest divergence. NVIDIA's Jensen Huang described the China market as "effectively closed" to US industry following BIS export control escalations (2022-2024). Intel's Pat Gelsinger called China "one of Intel's most important markets" while accepting CHIPS Act subsidies that constrain China expansion. Microsoft's Nadella stated the company is "mostly focused on the global market ex-China." Semiconductor postures are clearly reactive to US export controls, while enterprise software firms face a distinct regulatory vector through China's Data Security Law and Generative AI regulations.

Financial services executives present the most bearish outlook. Dimon's assessment that "the risk-reward has changed dramatically," Solomon's concern about difficulty withdrawing capital, and Fink's call to "re-evaluate" China ties signal structural reassessment. The exception is HSBC, whose Asia pivot under Elhedery positions China expansion as central to the bank's identity, though its Hong Kong heritage makes this case distinct.

Healthcare and consumer firms exhibit cautious optimism anchored in consumer proximity. Pfizer's Bourla expressed enthusiasm for aligning with Chinese government health priorities, while P&G's Moeller said he left China "more excited than when I went." These firms face lower geopolitical exposure, as their operations center on consumer products rather than sensitive technologies or capital flows.

2. Common Uncertainty Themes

Three uncertainty themes cut across industries. First, data governance and compliance costs became a universal concern following the 2021 triptych of the Data Security Law, PIPL, and Anti-Foreign Sanctions Law. Tech and financial firms handling large data volumes face the highest compliance burden, while the Anti-Foreign Sanctions Law creates a particular trap for financial institutions, which risk legal liability in China for complying with US/EU sanctions and sanctions violations at home for not complying.

Second, supply chain bifurcation is reshaping operations. The CHIPS Act guardrails, IRA EV provisions, and multilateral semiconductor export controls are creating parallel supply chains: auto firms must restructure battery sourcing for US subsidies while maintaining Chinese production, and semiconductor firms face binary choices between US subsidies and China revenue. Third, the revised Anti-Espionage Law (2023) has created a chilling effect on due diligence and information gathering, with consulting firms facing acute constraints after raids on Mintz Group, Bain, and Capvision in early 2023.

3. Reactive vs. Strategic Positioning

Cross-referencing CEO statements with policy timelines reveals a clear pattern. Semiconductor firms' narratives are overwhelmingly reactive: NVIDIA's shift from engagement to writing off China tracks BIS export control escalations. Financial firms' bearish pivot also appears reactive, accelerating after the Anti-Foreign Sanctions Law (2021) and outbound investment screening order (2023).

By contrast, European automotive firms display long-term positioning that predates specific policy events. BMW, VW, and Mercedes-Benz have pursued localization for decades; their recent statements reaffirm rather than adjust this trajectory, suggesting that sunk costs and path dependence may matter more than near-term policy changes for firms with deep operational roots. A notable US-European divergence persists: American firms (NVIDIA, Microsoft, JPMorgan, BlackRock) cluster toward de-risking, while European firms (BMW, VW, Mercedes-Benz, Siemens, Nestle) maintain cautious engagement, reflecting both asymmetric regulatory exposure and institutional differences in managing geopolitical risk.

4. Implications

CEO sentiment toward China is not a single spectrum but a multidimensional landscape shaped by industry-specific regulatory exposure, national origin, and the degree to which operations involve geopolitically sensitive technologies versus consumer proximity. The emerging pattern of "parallel localization," where firms simultaneously deepen China operations and reshore elsewhere, deserves attention as a distinct strategic response to bifurcation. The gap between rhetoric (often engaged) and investment reallocation (quietly de-risking) raises questions about the reliability of CEO narratives as indicators of true strategic intent.